ANALYSIS

Pattern

The complex advance from 1980 in the 30-year Treasury bond formed a triple zigzag, labeled W-X-Y-X-Z, with contracting triangles in both "X" wave positions, as shown in Figure 16-5. This labeling, with variations and adjustments along the way, was developed in *The Elliott Wave Theorist* as it unfolded. Despite difficulties in current time interpretation, at no time was there any question that the advance might be a "new bull market." The three-wave structure of the initial advances (and all subsequent ones as well) eliminated this interpretation at the outset. Because there is no such thing as a quadruple zigzag, we are justified in concluding that the bear market rally ended with wave Z.

Fibonacci Time Spans

The time element in the bond market has nicely reflected Fibonacci mathematics. Critical to a proper time analysis is the fact that the orthodox low for 30-year U.S. Treasury bonds occurred in March 1980. "Prices fell to a new low in 1981," *The Elliott Wave Theorist* repeatedly explained for a dozen years, "but that low was part of an upward corrective pattern called a contracting triangle."

As you can see in Figure 16-11, the Supercycle degree bear market dating from 1946 lasted exactly a Fibonacci **34** years if it *ended* at the 1980 low, while the recovery that carried into 1993 lasted exactly a Fibonacci **13** years if it *started* at the 1980 low. Figure 16-5 shows that internally, wave W lasted **3** months in 1980, the wave X triangles covered **5** years (1980 to 1985) and **5** years (1986 to 1991), the intervening wave Y took **1** year, and wave Z took **2** years.

The fact that the entire pattern lasted **13** years, from 1980 to 1993 in 30-year Treasuries, and from 1981 (the price low) to the peak in junk bond prices in February 1994 in other issues, mirrors what should be a **13**-year rise in *stocks* from 1982 to 1995. Also, like stocks from 1982 to 1987, the bulk of the bull market in bonds took place in **5** years, from 1981 to 1986.

Price Resistance

Throughout the advance, the guiding light for the ultimate upside target burned brightly. There was never any question that the level of the peak of wave IV, which was also the level of a Fibo-